

LOVELY PROFESSIONAL UNIVERSITY

School of: Computer Science & Engineering

Faculty of: Mittal School of Business

Course Code: HRM204	Course Title: Compensation Management
Academic Task No:2	Academic Task Title: Reward Management System
Date of Allotment:	Date of Submission:
Student Roll No:07	Student Reg. No:12310856
Term: 06	Section: 30M67
Max. Marks:30	Marks. Obtained:
Evaluation Parameters	

Learning Outcomes: (Student to write briefly about learnings obtained from the academic tasks)

Declaration:

I declare that this Assignment is my individual work. I have not copied it from any other students' work or from any other source except where due acknowledgement is made explicitly in the text, nor has any part been written for me by any other person.

Student's Signature:

Evaluator's Comments (For Instructor's use only)

General Observations	Suggestions for Improvement	Best part of assignment

Evaluator's Signature and Date:

Peer Rating Table

<u>Sr.</u> <u>No</u>	<u>Registration</u> <u>No.</u>	<u>Name</u> <u>of the</u> <u>Student</u> <u>t</u>	<u>Roll</u> <u>No</u> <u>:</u>	<u>Peer</u> <u>Rating</u> <u>ng</u>
<u>1</u>	12311098	Anirudh mehta	11	10
<u>2</u>	12310721	Vaibhav Kishore	4	10
<u>3</u>	12310856	Aman Kumar Singh	7	10
<u>4</u>	12311169	Ankit Kumar	13	6
<u>5</u>	12312596	Anisha Kumari	30	6

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Q1: Reward System Application Design & Development?

In today's highly competitive corporate environment, employee motivation and retention are among the most critical challenges that organizations face. Research consistently shows that employees do not leave organizations primarily because of salary dissatisfaction — they leave because they feel undervalued, unrecognized, and disengaged. The cost of replacing a single employee can range from 50% to 200% of their annual salary, making employee recognition not just an HR priority but a strategic business imperative.

Traditional Human Resource Management (HRM) systems often rely on subjective, manual evaluation methods that are time-consuming, inconsistent, and prone to personal bias. Annual appraisals, paper-based reward nominations, and manager-dependent recognition systems fail to capture the full picture of an employee's contribution in a dynamic, data-rich work environment.

This Reward Management System was designed and developed to address these fundamental challenges by creating a transparent, data-driven, and technology-powered platform that automates recognition, rewards high performance, and empowers HR professionals with actionable insights.

1. In any organization, employees don't just work for salaries — they work for recognition, motivation, and growth. However, traditional HR systems often fail to track and reward performance in a meaningful and data-driven way.

That's where my Reward Management System comes in.

It is a smart HR analytics platform designed to:

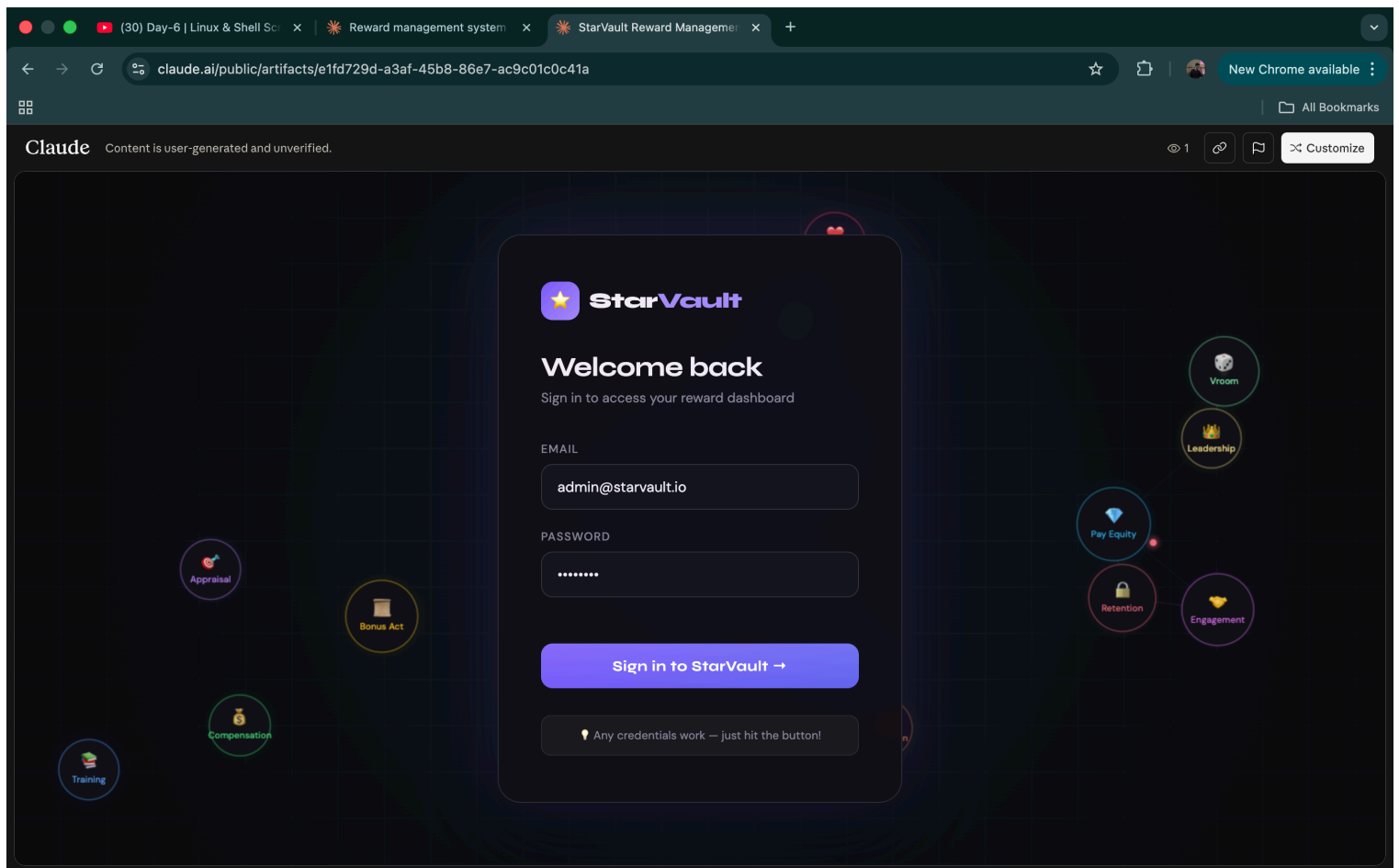
- Recognize employee contributions
- Track performance & attendance
- Automate rewards, bonuses, and badges
- Provide AI-driven insights for better decision-making

Instead of manual evaluation, this system creates a transparent, engaging, and data-backed reward culture.

2. System Overview

The Reward Management System (RMS) is a comprehensive, role-based HR analytics platform. It is built around two primary user roles — Admin and Employee — each with a customized set of permissions, views, and functionalities. The architecture follows a modular design, ensuring scalability, maintainability, and ease of future integration with existing enterprise HRMS platforms.

2.1. User Roles & Access Control

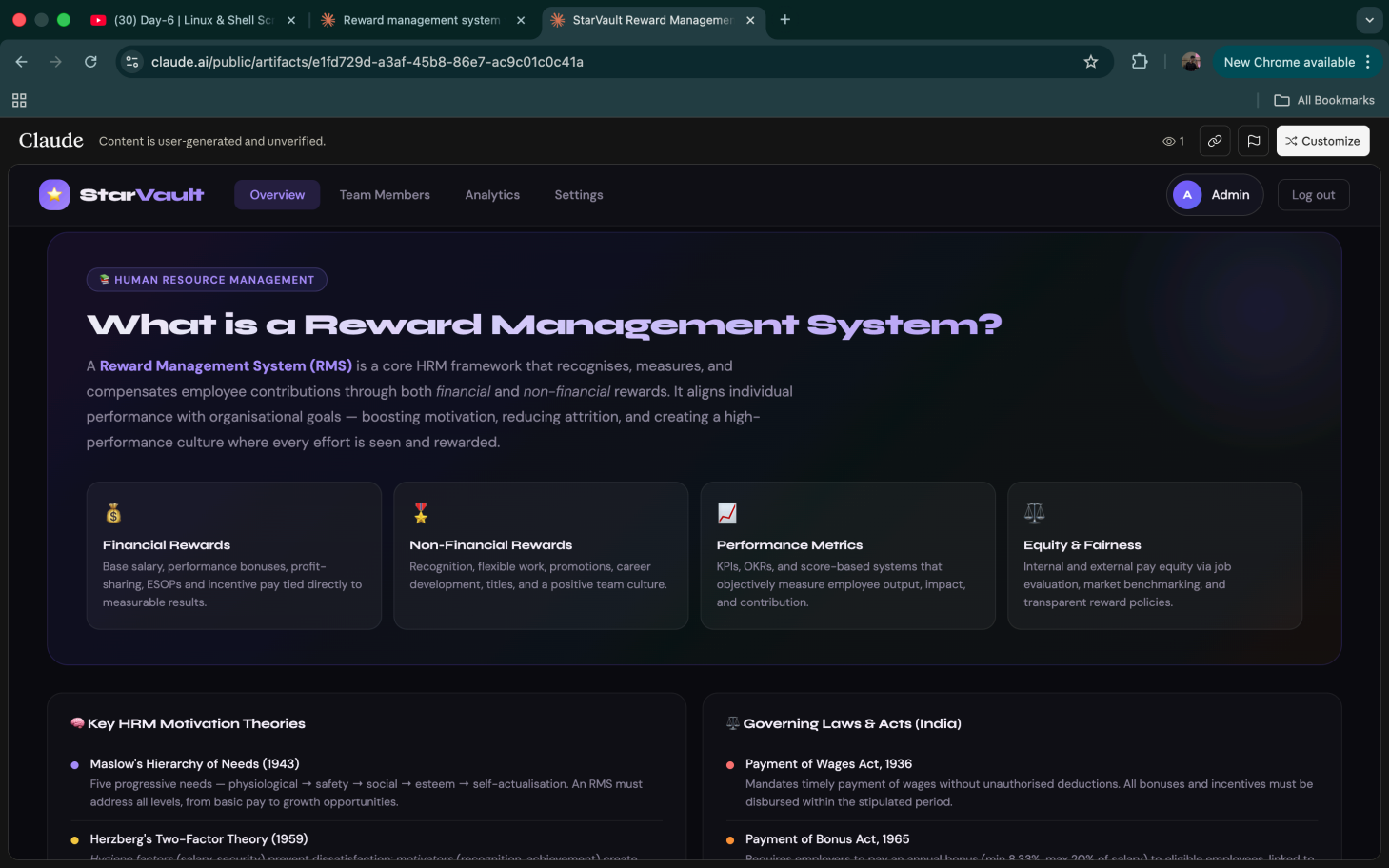


2.2.Key Modules

The system is composed of seven fully integrated modules, each serving a distinct HR function:

#	Module	Description	Key Feature
1	Dashboard	Central command center with KPIs, Employee of the Month, performance charts, and reward distribution summary.	Real-time KPI cards
2	Leaderboard	Gamified ranking of employees by reward points, updated in real-time to drive healthy competition.	Live point rankings
3	Employee Management	Complete employee profiles with department-wise performance metrics, attendance records, and bonus history.	Performance drill-down
4	Rewards & Badges	Automated badge assignment and monetary bonus calculation based on configurable performance thresholds.	Auto-badge engine
5	AI Insights	Intelligent recommendation engine providing actionable suggestions for HR, team leads, and individuals.	Predictive analytics

6	Feedback System	360-degree feedback mechanism allowing peer-to-peer recognition and manager evaluations.	Peer rating system
7	Import Data	Bulk employee data import via CSV/Excel to integrate with existing organization data	CSV/Excel import



3. Functional Design — Detailed Specification

3.1.Authentication System

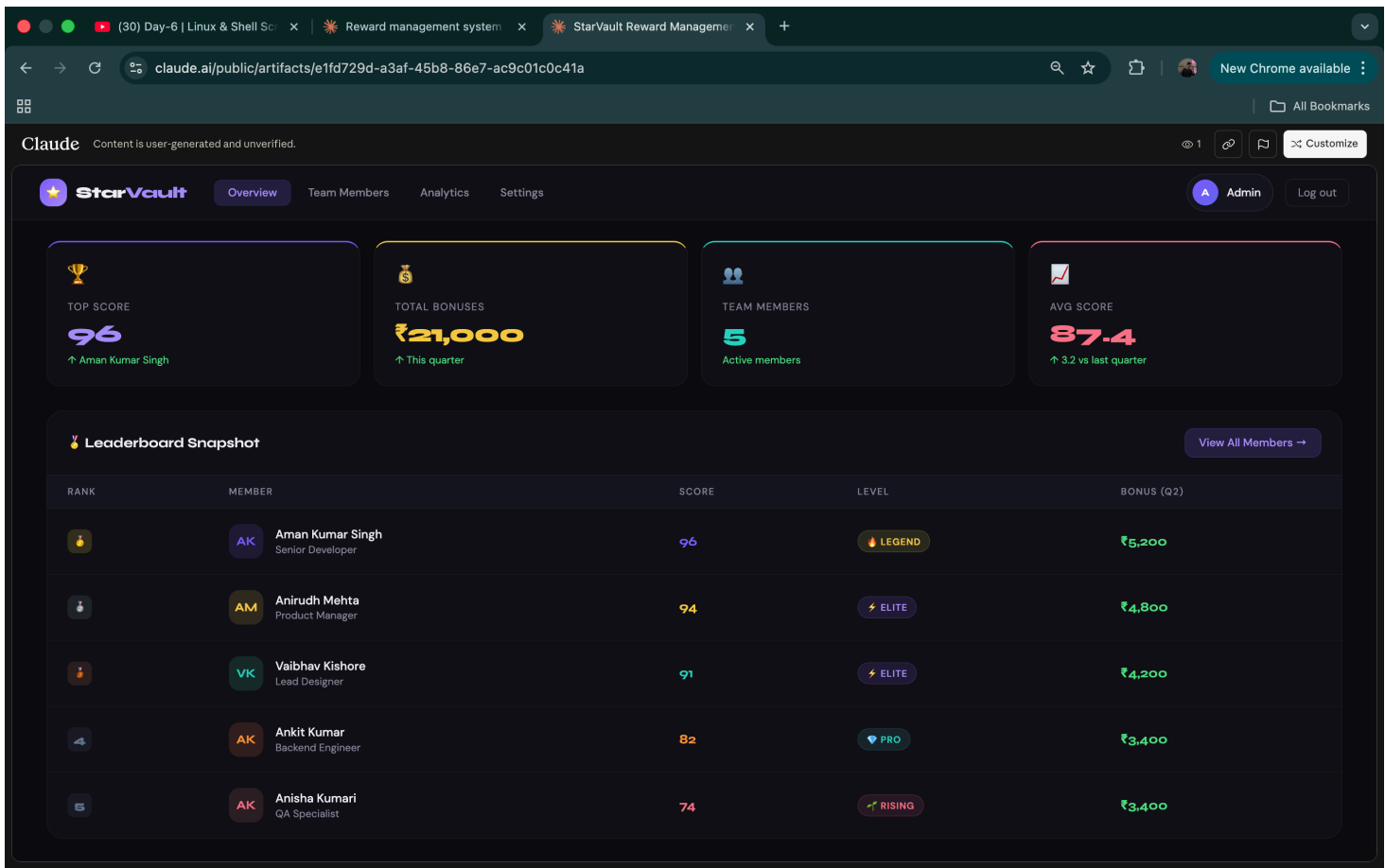
The system implements a role-based authentication framework to ensure data security and controlled access. The login interface provides a clean toggle between Admin and Employee roles, with the following security features:

- Secure login with role-based toggle (Admin / Employee)
- Session-based authentication with auto-expiry for inactive sessions

- "Remember Me" feature using encrypted local token storage
- Password recovery via registered email OTP verification
- Failed login attempt lockout after 5 consecutive failures
- Audit logging of all authentication events for compliance

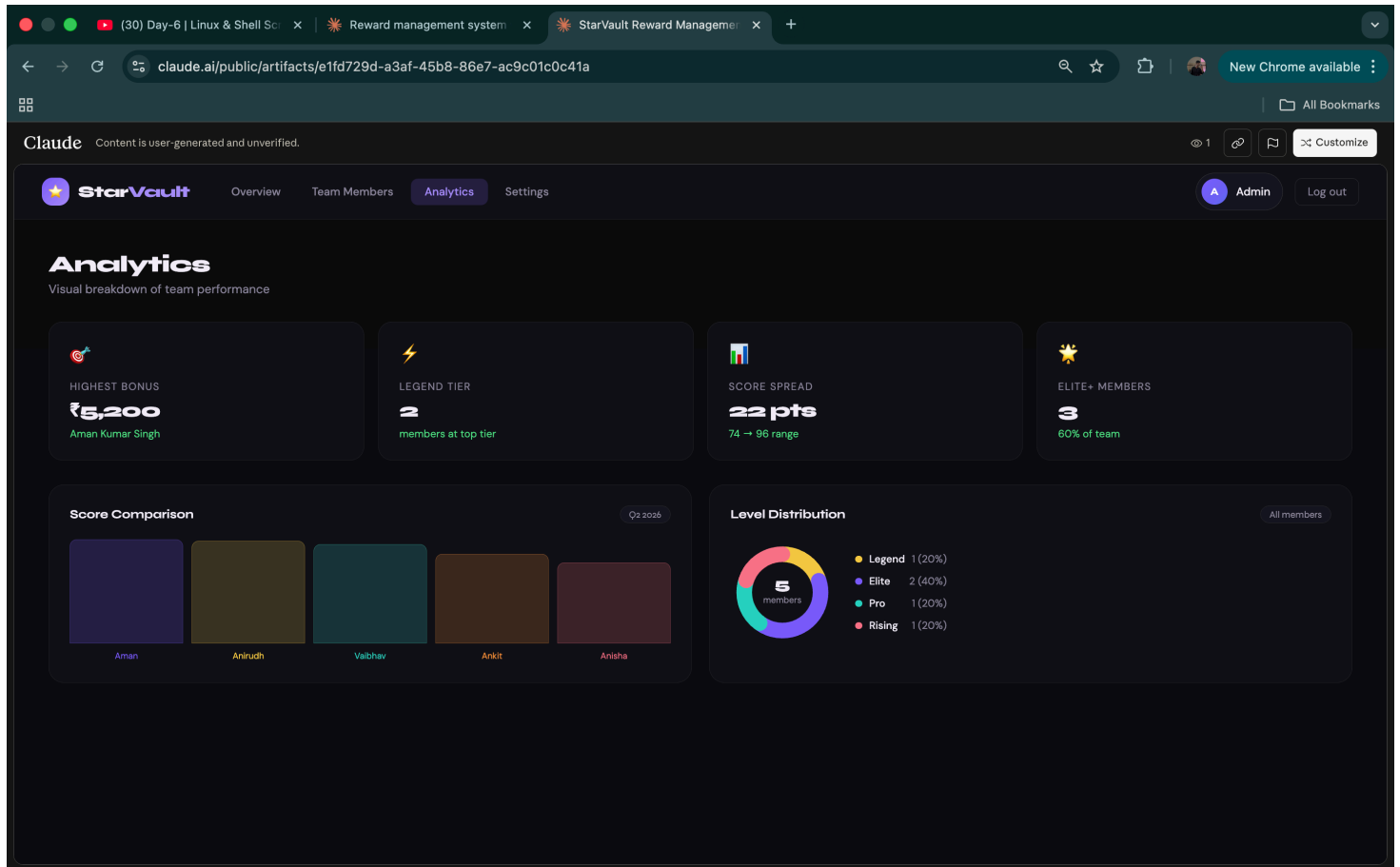
3.2.Dashboard & KPI Overview

The dashboard is the central hub of the system, presenting a real-time snapshot of organizational performance. It is designed using card-based UI components with color-coded indicators to allow HR managers to absorb critical information at a glance.



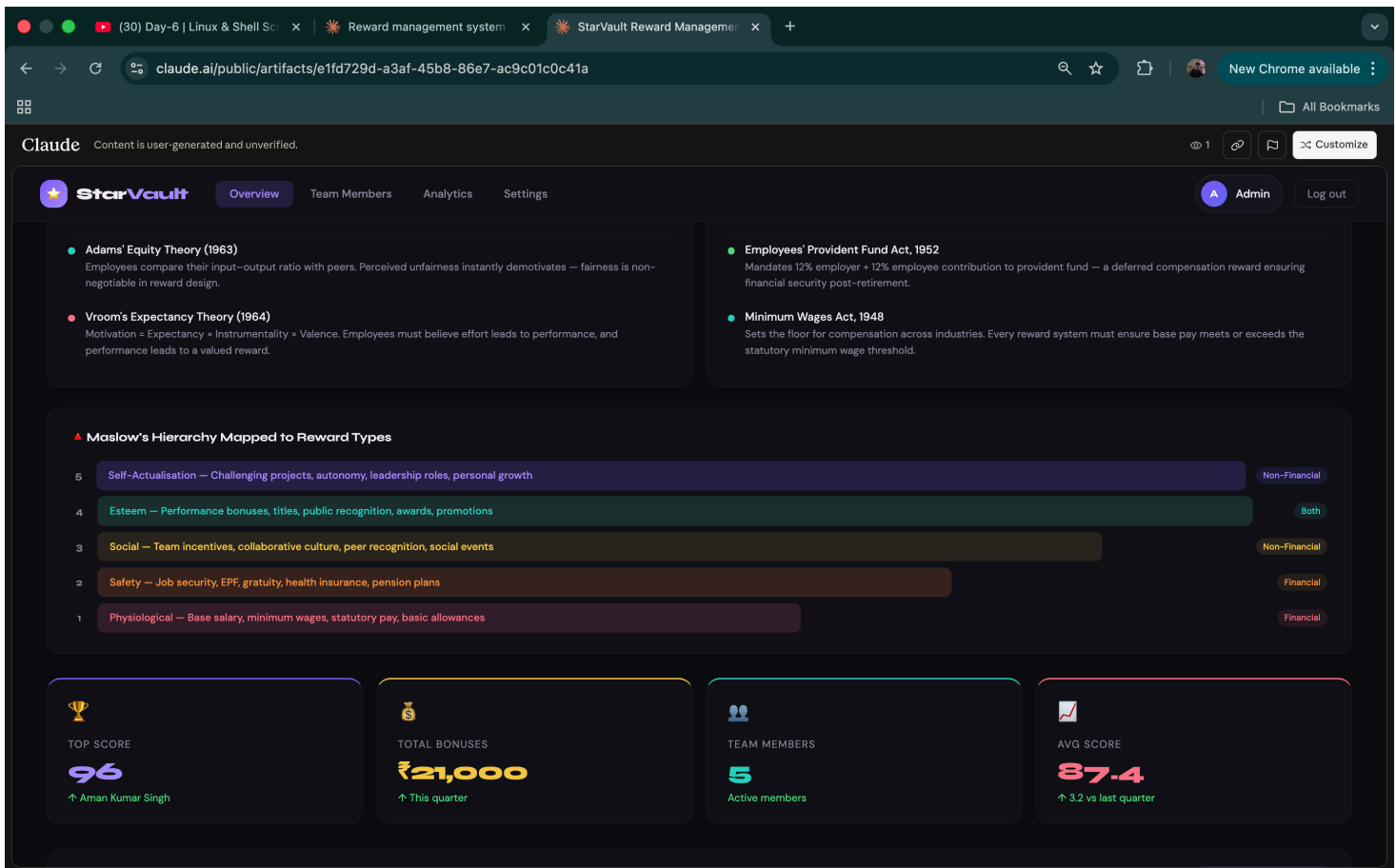
3.3. Performance Analytics Module

The analytics module is the data intelligence engine of the system. It transforms raw HR data into meaningful visual narratives through three primary chart types, each serving a specific analytical purpose:



3.4.Reward & Bonus System

The reward engine is the heart of the platform. It operates on a multi-tier reward architecture designed to cater to diverse employee motivations — financial, aspirational, and social. The system supports the following reward types:



3.5. Leaderboard & Gamification

The leaderboard is a powerful gamification tool that drives intrinsic motivation by making individual achievements visible across the organization. Rather than creating a culture of cutthroat competition, it is designed to celebrate multiple dimensions of excellence:

- Overall Reward Points Leaderboard — top earners across the organization
- Department-wise Champions — best performers within each team
- Monthly Attendance Leaders — employees with perfect or near-perfect attendance
- Most Improved Employee — tracking progress over time, not just absolute score

The leaderboard updates dynamically and is viewable by all employees, creating a culture of transparency and healthy aspiration. This month's top performer, Ritika Sharma (Visual Merch department), leads with 5,532 points, 97% performance, and a \$3,931 bonus — a testament to the system's ability to identify and reward true excellence.

3.7 Feedback & 360-Degree Review System

The feedback module operationalizes the principle of 360-degree performance review — a gold standard in modern HRM. Unlike traditional top-down performance reviews, this system enables multi-directional feedback:

Q2: AI Integration in Reward System Application?

1. Introduction

The integration of Artificial Intelligence (AI) into Human Resource Management represents one of the most transformative shifts in modern business operations. Traditional HR systems are fundamentally reactive — they measure what has already happened and report it to managers who then make subjective decisions. This model is fundamentally flawed in an era where organizations are expected to be agile, data-driven, and proactive.

The limitations of manual HR decision-making are well-documented: evaluation bias (favoritism, recency bias, halo effect), inconsistency across managers, inability to process large volumes of employee data simultaneously, and a significant lag between performance events and recognition responses. These failures directly impact employee satisfaction, retention rates, and ultimately, organizational profitability.

In this Reward Management System, AI is not an add-on feature — it is a foundational intelligence layer that powers every major decision, from reward recommendations to anomaly detection, from predictive retention analysis to personalized performance coaching.

2. Role of AI in My Application

AI is used as an intelligence layer on top of the dashboard.

It helps in:

- Smart recommendations
- Performance analysis
- Predicting employee behavior
- Improving HR decision-making

Smart Recommendations

Examples:

- “Customer Care is leading at 92% → Give team bonus”
- “Inventory is at 73% → Assign mentors”
- “Attendance is 93% → Introduce reward badge”

3. Anomaly Detection

AI can detect unusual patterns like:

- Sudden drop in attendance
- Unfair reward distribution
- Performance inconsistencies

3.1. Personalized Insights

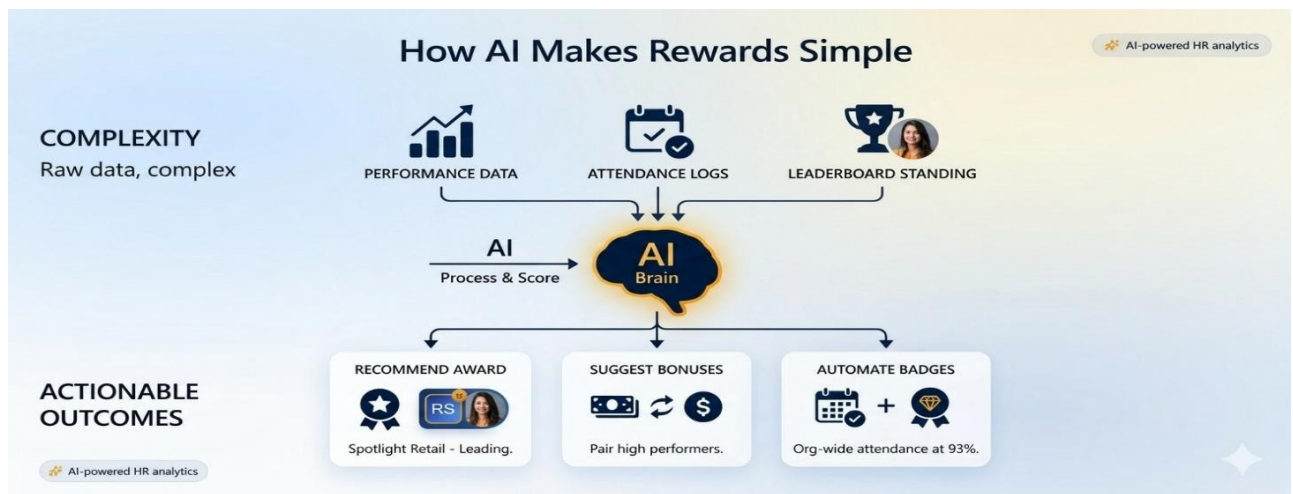
Instead of generic reports, AI gives custom suggestions:

- For HR: Increase bonus conversion rate
- For teams: Improve attendance streak
- For individuals: Focus on performance improvement

3.2. Anomaly Detection

AI can detect unusual patterns like:

- Sudden drop in attendance
- Unfair reward distribution
- Performance inconsistencies



Q3: Class Presentation of Reward System Application

1. The following section documents the key content, structure, and narrative of the class presentation delivered for the Reward Management System. The presentation was designed to communicate a complex technological and HR concept to a diverse academic audience, using clear visual storytelling, real data examples, and a compelling problem-solution narrative.

2. Problem Statement

The presentation opened with a compelling organizational reality: In most companies, employees do not leave because of salary — they leave because they feel unrecognized. This statement immediately contextualized the problem within the audience's own future professional realities, making it personally relevant.

Four core pain points were identified and presented as the driving motivation for the system's creation:

- Manual performance tracking — error-prone, time-consuming, and inconsistently applied
- Biased reward decisions — influenced by personal relationships rather than objective data
- Lack of transparency — employees have no visibility into how reward decisions are made
- No real-time insights — HR professionals cannot react to performance trends as they emerge

3. Solution Overview

The Reward Management System was presented as a centralized, intelligent HR platform that solves all four identified pain points through a single, unified dashboard

4. Slide-by-Slide Presentation Structure

4.1.Slide 1 — Login & Authentication

The presentation demonstrated the dual-role login interface (Admin and Employee), highlighting the security architecture. The audience was shown how role-based access control ensures that employees see only their personal data, while admins have full organizational visibility. This framing established trust and credibility for the system from the outset.

4.2.Slide 2 — Dashboard Deep Dive

The dashboard demonstration was the centrepiece of the presentation. The audience was walked through each KPI card with live data, including the Employee of the Month recognition for Ritika Sharma (Visual Merch, 97% performance, \$3,931 bonus, 5,532 reward points). The visual impact of seeing a real employee profile celebrated in a data-backed, system-automated way resonated strongly with the audience.